

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Planning: Reference Material	Kohei Akama	Updated reference links
		Planning: Self-Service Report		Added self-service report from Finance Business Controls (FBC) OpenPages
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
September 2024	Planning	Audit Program Risk Alignment	Jessica Lin	Changed wording on one defined risk area
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

Table of Contents

PROCESS AND OBJECTIVE	3
PLANNING: Audit Program Risk Alignment.....	4
PLANNING: Data Analysis.....	5
PLANNING: Reference Material	8
PLANNING: Self-Service Report	9
PLANNING: Fraud Template.....	10
CONTROL ASSESSMENT QUESTIONS	11
Key Control Question: 1. Travel and Expense Review	11
Primary Test: Employee Expense Reports (EP001.P).....	12
Secondary Test: Advances (EP002.S)	13
Primary Test: Expense Guidelines Interpretation and Implementation (EP003.P)	14
Key Control Question: 2. Access Management.....	15
Primary Test: Separation of Duties (SD001.P)	16
Primary Test: Userid Administration Process (SD002.P).....	17
Primary Test: Business Continuity, and Pandemic Preparedness (SD003.P)	18
Key Control Question: 3. Documents of Understanding	19
Primary Test: Document of Understanding (CM001.P)	20
Key Control Question: 4. Measurements.....	21
Primary Test: Measurements (MS001.P)	22

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PROCESS AND OBJECTIVE

This Travel and Expense audit program is intended to assess whether IBM's reimbursement process is being followed.

Expenses are processed via Travel and Expense (Concur). Currently, the processing of employee expenses is handled primarily by the delivery teams in the HR Services Organization.

The process is owned by CHQ HR Services and includes policies and tools. The Travel and Expense process has multiple organizations involved in the process execution. These organizations include CHQ HR Services (global process owner), line management of the employees submitting reimbursement requests (covered under the Management of Disbursements (MOD) audit program 18-05-00), and payment processing currently handled by HR Services Delivery.

As of year-end 2010, this program is not intended to assess management's responsibility to ensure employees are submitting expenses for appropriate reasons and within guidelines, use of Compliance with Transportation, Entertainment, and Business Amenities (CTEBA) tools, or conformity to the guidelines in Corporate Instructions FIN 168/LEG 168 as these are covered under the Management of Disbursements (MOD) audit program 18-05-00.

In addition, the assessment of separation of duties as related to the processing of Travel and Expense is an important component of this audit program and unless addressed in other recent audits or ASCA reviews, should be included.

Types of expenses that could be reviewed include, but are not limited to:

1. Travel Expenses (Travel and Expense Type Categories)
 - a. Air Transportation
 - b. Hotel/Lodging
 - c. Ground Transportation
 - d. Other Travel Expenses
 - e. Non-Travel Expenses
 - f. Fees
 - g. Communications
 - h. Recognition/Internal Events
 - i. Client and Other External Party Expenses
 - j. Country Specific Expenses
2. Advances
3. Domestic Relocation (if handled by Travel Operations)

This program is also not intended to assess business process services contracts with external customers which is covered under the Service Delivery External - GPSD 62-20-00.

Important note when auditing Travel and Expense:

With the changes announced and implemented via the #getsimple program, management is no longer required to explicitly approve an employee's expense prior to payment in most circumstances (excluding third party and / or advances). This is now part of their review of the monthly management report and not covered in this audit program. Audit's focus must be on the assessment of the timeliness and accuracy of processing per applicable timeliness and accuracy measurements.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Audit Program Risk Alignment

Travel and Expense

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Expense Claims	Medium	Travel and Expense Review	EP001.P, EP002.S
Legal Fiscal Compliance	Medium	Travel and Expense Review	EP003.P
Payment Processing	Low	Travel and Expense Review	All
Financial Reporting	Low	Measurements	MS001.P
Access Management and Separation of Duties	Low	Access Management	SP001.P

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Implementation of Global Policy in Concur	Testing Approach: Request list of all Concur system logic that pertain to the expense submissions and process reviews of all expense policies to identify potential discrepancies. Request list of all policy additions and modifications made during the audit period and verify that the associated system logic was implemented in Concur in a timely manner.	Policy violations	Discrepancy between Concur system logic and expense policy could lead to policy exceptions being overlooked by management.
Document of Understanding (DOU)	Testing Approach: Evaluate procedures to establish and periodically review DOUs to ensure complete understanding and adherence to roles and responsibilities between HR and other legal entities.	Outdated DOUs, responsibilities and assigned owners not defined	DOU terms and conditions, including a definition of the scope of work as well as expected deliverables, must be clearly stated, or miscommunication and prolonged disputes between organizations could result.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Measurements	Testing Approach: Assess measurements used within the Center of Excellence or support centers.	Delayed reporting, incorrectly calculated measurements	Failure to identify key measurements and controls and implement reviews and management reporting to confirm their effectiveness could lead to an unsatisfactory control position. Undetected errors, failure to meet business objectives, and contractual problems could expose IBM to financial loss.
Processing of Travel and Expense Transactions	Testing Approach: Determine if expense reports were processed timely and accurately. Also determine if automated or operational activities were performed as required.	Delayed processing	Improper or invalid payments may be made to employees which could result in inappropriate or excessive expenses being incurred by IBM. Automated or operational activity criteria which does not address the risks in the environment could lead to the inability to detect improper expense submissions.
Compliance Testing	Testing Approach: Assess methodology and execution of key controls as defined in Finance Business Controls OpenPages.	Delayed testing, incomplete testing	Inadequate compliance testing could lead to the inability to identify and take action on process design and execution weaknesses and further result in insufficient information for management decision making.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Cash Advance	Testing Approach: Determine if cash advances were properly approved, returned to IBM promptly and accurately. Also, if cash advance write-offs had proper approvals and supporting documentation.	High dollar / high volume of cash advances	Failure to adequately manage funds given to employees in the form of advances for which there is no obligation could result in a financial loss to IBM if they are not repaid or otherwise recovered.
Recoveries (Overpayments)	Testing Approach: Determine if recovery was established/set up as requested, funds were returned to IBM.	Uncollected recovery	Failure to adequately manage recovery of funds could result in a financial loss to IBM if they are not repaid.
SOD and Disaster Recovery	Testing Approach: Validate that procedures for controlling separation of duties and system access capability conflicts are adequate and in compliance with Corporate Instruction FIN 182 Appendix C - Separation of Duties. Verify disaster recovery plans, business continuity, or applicable pandemic plans.	Delayed or insufficient periodic review of SOD assessments, overlapping duties, lack of access revalidation	Unauthorized persons may gain access to the application and its resources enabling them to enter unauthorized transactions. Inability to recover processing or operating capabilities following disruption due to accident, disaster, or other emergency, obligations to internal IBM customers may not be met. This could expose the company to financial ramifications and satisfaction issues. Lack of separation of duties may allow an individual to make unauthorized changes to the application or process unauthorized transactions. Disruption of business operations due to natural or man-made disasters can lead to significant financial loss.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Reference Material

IBM Business Conduct Guidelines: [IBM Corporate Documents - Business Conduct Guidelines](#)

Corporate Instructions

- ET 127: Business Continuity Management: [IBM Corporate Documents - ET 127](#)
- FIN 101: Control of Disbursements: [IBM Corporate Documents - FIN 101](#)
- FIN 101 – Attachment A: Control of Disbursements: Basic concepts and controls
[IBM Corporate Documents - FIN 101 Attachment A](#)
- FIN 101 - Attachment B: Control of Disbursements: Disbursement Approval Requirements
[IBM Corporate Documents - FIN 101 Attachment B](#)

Requirements

- FIN 182 - Management Self Assessment of Control, Appendix C: Separation of Duties
[IBM Corporate Documents - FIN 182](#)
[financebc - CI FIN 182 Appendix C \(ibm.com\)](#)
- Expense Reimbursement home page (US): <https://w3.ibm.com/travel/>
- Travel and Expense Policies Page: [Global - Travel Policies - Global - Travel and Expense](#)
- HR Global Travel and Expense Education for Managers - Monitoring Employee Travel and Expense Activity: [Global - Travel Policies - Manager Resources](#)

General Data Protection Regulation (GDPR)

- GDPR Readiness: <https://www.ibm.com/products/cloud/compliance/gdpr#4>
- Compliance, Audit, Risk Mitigation and Management: <https://w3.ibm.com/w3publisher/dprc>

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Self-Service Report

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

Information previously in IDR	Instructional materials to download information
• Management Self-Assessment of Controls (MSAC) • Risk Evaluations (RE) • Proactive Business Controls Reviews • (No key controls)	Exporting reports from FBC OpenPages: 1. Log in to OpenPages. 2. Switch user profile to "FBC General User." 3. On the home page, navigate to the Reports section. 4. Select and export the required report(s) using the applicable filter criteria (e.g., date range, process type, status).

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and results in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Fraudulent Claims	• Clear, understandable policy • Concur (or equivalent) notifications or hard stops • Explicit management approval if violation allowable • Automated or operational activity	• Carefully review policy, note particularly non-reimbursable expense types • Filter universe to isolate non-reimbursable expenses, expenses exceeding limits, etc. • Mine data for patterns and "outliers" • Review GEMCAP model and results
Policy Exceptions: Excessive	• Clear, understandable policy • Management approval or review • Automated or operational activity	• Carefully review policy, note particularly limits that could be exceeded under specific conditions (such as management approval) • Filter universe, mine data
Misclassifications: to circumvent policy, approval, or review.	• Clear, understandable policy • Management review • Automated or operational activity	• Carefully review policy, note particularly classifications that pose risk to IBM • Filter universe, mine data

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Travel and Expense Review

Objective:

Determine if expense reports were processed timely and accurately in accordance with associated procedures and timeliness/accuracy measurements. Also determine if automated or operational activity was performed as required and whether the selection criteria addressed the appropriate risks in the environment that were beyond the responsibilities of employees and managers. (Reference Corporate Instruction FIN 101 - Attachment B for the responsibilities of employees and managers). These transactions would be processed electronically through Travel and Expense (Concur).

Risk/Exposure:

Improper or invalid payments may be made to employees which could result in inappropriate or excessive expenses being incurred by IBM. Automated or operational activity which does not address the risks in the environment beyond the responsibilities of employees and managers could lead to the inability to detect inaccurate or improper supporting documentation, reimbursements requiring taxation, or duplicate expense submissions.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Travel and Expense Review

Primary Test: Employee Expense Reports (EP001.P)

Note: Approval and adherence to WW and local country policies and guidelines is tested by the Management of Disbursements (MOD) audit program 18-05-00.

Objective:

To ensure employee expenses are processed accurately and timely with required supporting documentation.

Approach:

Use reports or listings to select a sample of expense reimbursements that may pose significant risks to the process, e.g., reimbursements that require supporting documentation, require taxation, or high dollars / high volumes.

Assess the following, focused on process and guideline adherence:

- Were all receipts and supporting documents provided as required per reimbursement guidelines?
- Did automated or operational activity occur? Were the criteria rigorously followed? Was the design of the automated and operational activity effective to mitigate the risk of improper supporting documentation, incorrectly taxed reimbursements, or duplicate payments?
- Were Gifts processed per reimbursement guidelines?
- If advances were processed, were they processed per reimbursement guidelines and tracked until repayment?
- For hardcopy forms (Concur is entered via Proxy and the Report Name field will include HRDForm - hardcopy, OVPFORM - overpayment, CADFORM - cash advance), was any initial expense report form cancelled or rejected from the system before processing the hardcopy form, if applicable? Was an appropriate business justification provided for the reason for the hardcopy form? Were the appropriate approvals in place before releasing the hardcopy form for payment?
- Was the expense report released for payment timely per the applicable timeliness and accuracy measurements? If not, was an appropriate analysis performed to identify the reason for the delay and were actions implemented to prevent recurrence?
- For outstanding issues, was there evidence of documentation to identify, track, and follow-up on them until resolution? If not, was an appropriate analysis performed to identify the reason for the lack of resolution and were actions implemented to prevent recurrence?
- Were payments correctly applied?
- Were there duplicate payments monitoring in place to capture and analyze potential duplicate payments?
- Was Quality Testing performed per requirements?
- Did the returned payments process ensure accurate and timely repayment to the employee?
- Were employee questions and complaints properly handled?
- Was the taxability of the reimbursement to the employee correctly evaluated and handled?

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Travel and Expense Review

Secondary Test: Advances (EP002.S)

Objective:

To determine if there was an effective process for the distribution of advances.

Approach:

Obtain a list of advances and assess the following:

- Was the advance in line with country specific guidelines including duration of the trip and amount of advance?
- Was the appropriate approval in place for the advance?
- Was the advance repaid timely and in accordance with terms and conditions?
- Was all supporting documentation in place?
- Was the taxability of the advance to the employee correctly evaluated and handled?
- Were advances aged and tracked appropriately?

Note: For most countries, HR Service Delivery does not process advances for employees. The organization's ledger activity could be reviewed to verify that no advances were processed.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Travel and Expense Review

Primary Test: Expense Guidelines Interpretation and Implementation (EP003.P)

Objective:

Assess the process to review, update, and communicate expense reimbursement guidelines and processes and ensure current guidelines have appropriate review and approval.

Approach:

Review the guidelines implementation process to determine the following:

- Was there a process to review and update corresponding guidelines and was the frequency appropriate for the environment?
- Was there an action plan or process in place to review and unify guidelines as necessary?
- Were current guidelines reviewed, approved, and documented per the process?
- Were the guidelines promptly and accurately loaded in the corresponding system?
- When changes are made to the process, the guidelines, the tools, etc., how are these changes communicated to the process executor and to users of the process (IBM employees and management)?
- How does HR Services Delivery assure itself that they are executing the process for employee reimbursement requests in accordance with the current guidelines?
- When changes to expense processing practices occurred, were employee expense guidelines updated to ensure consistency?
- How does the Global Process Owner (CHQ HR Services) assure itself of two things?
 - That HR Service Delivery is executing the process in accordance with reimbursement procedures and
 - That IBM employees and management are aware of the requirement to adhere to IBM's expenses policy as required by Corporate Instruction FIN 101 - Attachment B and using the required applications.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Access Management

Objective:

To determine if there were adequate access and update capability controls and separation of duties to prevent fraudulent transaction processing.

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) / disaster recovery plans (DRP) so that in the event of natural or man-made disasters, predefined plans can be executed to maintain business operations.

Risk/Exposure:

Unauthorized persons may gain access to the application and its resources, enabling them to enter unauthorized transactions. Lack of separation of duties may allow an individual to process unauthorized transactions.

Ineffective control of sensitive program changes may result in financial loss to IBM.

If IBM were unable to recover processing or operating capabilities following disruption due to accident, disaster, or other emergency, obligations to internal IBM customers may not be met.

This could expose the company to financial ramifications and satisfaction issues. Many business processes have been centralized and often operations are conducted in locations which may be susceptible to business disruption. As a result, it is important that business and process owners have developed plans to maintain continuity of business operations.

TRAVEL AND EXPENSE

AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Access Management

Primary Test: Separation of Duties (SD001.P)

Objective:

Ensure that a separation of duties assessment is performed and approved by the process owner or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Approach:

- Was the end-to-end process reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner or delegate?
- Were identified conflicts assessed for a determination? Was there supporting documentation to validate the assessment?
- If secondary controls are needed, were they identified and would mitigate the conflict effectively?
- If financial processes are included in the end-to-end process, were KCFRs defined and implemented? Were they tested timely and properly with documented results?

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Access Management

Primary Test: Userid Administration Process (SD002.P)

Objective:

Determine if processes and procedures were clearly defined and consistently implemented to ensure that IDs related to Operations (e.g., general userids, privileged userids, and shared userids) were controlled and managed accordingly. Determine if the process included documented workflows, identified high-risk areas and control points, list of process participants, and metrics to verify process effectiveness.

Approach:

Evaluate the data processing systems utilized in the travel and expense process and verify the following:

- Was there verification of a list of authorized users and all system transactions the users were authorized to perform?
- Did user access authorizations exist during the audit period?
- Was system access monitored periodically and was a documented control log in place?
- Was access removed in a timely manner for departed and transition employees?
- Did revalidation of continued business need and quarterly employment verification exist and were the revalidations and verifications executed?
- Did access management procedures exist for completeness and accuracy?
- Were separation of duties reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner or delegate?
- Were identified conflicts assessed for a determination? Was there supporting documentation to validate the assessment?
- If secondary controls are needed as defined according to FIN 182 Appendix C - Separation of Duties, were they identified and would they mitigate the conflict effectively?
- If financial processes were included, were KCFRs defined and implemented? Were they tested timely and properly with documented results?

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Access Management

Primary Test: Business Continuity, and Pandemic Preparedness (SD003.P)

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) or disaster recovery plans (DRP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Approach:

Verify application business continuity, or applicable pandemic plan to determine the following:

- Was an analysis performed to evaluate if a DRP, full execution test results, and paper walkthrough test for completeness and accuracy was needed according to ET 127 requirements?
- Was there a backup recovery process of transactional data archived to media and sent to off-site storage facilities?
- Was there a business continuity plan and pandemic process in place for applicable applications classified as pandemic essential and were they reviewed for completeness?
- Did management have easy access to a copy of the plans and were they familiar with it?
- For associated continuity and pandemic plans (regional, RESO, etc.), was the information up to date, did it link to the local plans, and was it tested regularly?

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Documents of Understanding

Objective:

To determine if the Center has established processes and procedures to create and manage documents of understanding (DOU).

DOUs should be completed prior to the commencement of services and should be reviewed at a minimum of once per year. In addition, if there are changes in management, the DOU should be reviewed and signed by the new management to ensure acceptance of the specifics of the DOU. Furthermore, as country laws and rules vary, DOUs should be in place to specify the work to be provided by a specific country.

Risk/Exposure:

DOU terms and conditions, including a definition of the scope of work as well as expected deliverables, must be clearly stated, or miscommunication and prolonged disputes between organizations could result and adversely impact the continuity of services.

Risks associated with unclear or undocumented DOUs include improper separation of duties; work begun on processes before DOUs are documented and approved; responsibilities that are not clearly defined; improper validation of measurements; unexplained errors; unclear or missing work scope; lack of required approvals; and significant changes to process relationships without a corresponding change to terms and conditions on DOU.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Documents of Understanding

Primary Test: Document of Understanding (CM001.P)

Objective:

Assess the process to manage documents of understanding (DOU) and ensure adherence with the terms and conditions of the agreement.

Approach:

Evaluate procedures to establish and periodically review DOUs and corresponding service level agreements (SLA) to ensure a complete understanding and adherence to roles and responsibilities between the Global Process Owner (CHQ HR Services) and other legal entities by reviewing the following:

- Were DOUs established with the interfacing organizations and sufficiently define the roles and responsibilities, expectations, SLAs, etc.?
- Were DOUs implemented timely, with appropriate approval(s), and reviewed annually?
- Were metrics in place to gauge compliance with DOU guidelines and SLA requirements?

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Measurements

Objective:

Determine if there was an effective management system in place to ensure that the area under review was operating at a known level of risk, and that actions were taken to minimize the risks and attain an acceptable level of control.

Risk/Exposure:

Failure to identify key measurements and controls and implement reviews and management reporting to confirm their effectiveness could lead to an unsatisfactory control position. Undetected errors, failure to meet business objectives, and contractual problems could expose IBM to financial loss.

Problem indicators for this area include: no key controls identified, no targets or measurements in place, lack of management information.

TRAVEL AND EXPENSE AUDIT PROGRAM #18-15-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Measurements

Primary Test: Measurements (MS001.P)

Objective:

To determine whether a management system is in place to define and monitor key business measurements and controls in accordance with the business objectives. This should include financial plans.

To determine whether ongoing management review took place and deviations were addressed with appropriate action plans.

To determine if there was a change management system in place to implement revised measurements and controls based on changes to business objectives.

To determine if management reviewed survey results (i.e., NPS) where applicable, to understand user feedback and potential areas of improvement.

To determine if measurement exception reporting has been implemented to identify the root cause of exception cases and whether appropriate action plans were implemented to prevent exception recurrence.

Approach:

Understand the business objectives and any critical controls required under which business is conducted. Review the management system in place to ensure that compliance testing and reporting takes place to monitor achievement against targets.

Test the following:

- Were the business objectives clearly defined and were key measurements and controls which support the business objectives identified? Targets for these subjects should be set and reporting should be produced to track performance against targets.
- Was there a program of compliance testing in place for these key measurements and controls?
- Was there evidence of regular management review of measurements and controls?
- Were measurement exceptions identified, were action plans in place to address these exceptions, and were these plans monitored until the measurement exception was resolved? Were the owners of the action plans identified?
- Was there regular review of the subjects included in these key measurements and controls to assess the need for continued focus?